CHAPTER 6: DEDUCTIONS FROM GROSS TOTAL INCOME

INTRODUCTION

- Deduction is allowed from Gross Total Income. If GTI is less than deduction then, deduction is restricted to the amount of GTI.
- No Deduction is allowed from STCG u/s 111A, LTCG u/s 112, LTCG u/s 112A and casual income.

DEDUCTION IN RESPECT OF CERTAIN PAYMENTS/INVESTMENTS [SECTION 80C]

1. Assesee - Individual / HUF
2. Deduction - Amount Invested or ₹ 1.5 lacs – Whichever is lower.
3. Payment Is Made Towards

(i) Life Insurance Policy for self, spouse & child.

Policy Issued	Maximum Deduction
On / After 1/4/2012	10% Of Sum Assured Disabled Person – 15% Of Sum Assured
Before 1/4/2012	20% Of Sum Assured

(ii) Contribution made in ULIP (self, spouse and any child or any member of HUF).

(iii) Investment in fixed deposit for a period of 5 years or more.

(iv) Invested in 5 year post-office time deposit account.

(v) Contribution by individual to SPF / RPF.

(vi) Contribution made by individual or HUF to PPF (self, spouse and any child or any member of HUF).

(vii) Amount has been invested in NSC

(viii) Interest accrued on NSC shall be income under the head other sources also deduction is allowed for such interest u/s 80C. However, no deduction shall be allowed for Interest accrued in last year.

(ix) Repayment of Principle amount of Housing Loan.

(x) Stamp duty, registration fee or other charges paid for acquisition of house property.

(xi) Payment of tuition fees (maximum two children and it should be whole time education).

(xii) Senior Citizens Savings Scheme.

(xiii) Investment in Sukanya Samridhi Account.

(xiv) Contribution to any notified pension scheme of Mutual fund or UTI.

(xv) Contribution to NPS Tier-2 account by CG EE for a fixed period of 3 years or more.

DEDUCTION IN RESPECT OF CONTRIBUTION TO CERTAIN PENSION FUNDS [SECTION 80CCC]

- Assessee – Individual.
- Deduction - Amount Invested or ₹ 1.5 lacs – Whichever is lower.
- Payment Is Made Towards
  a. Pension plan of Life Insurance Corporation (LIC) also known as annuity scheme; or
  b. Pension Plan of any other Private Insurer as approved by Controller of Insurance.

DEDUCTION IN RESPECT OF CONTRIBUTION TO PENSION SCHEME OF CENTRAL GOVERNMENT [SECTION 80CCD]

1. Assesee - Individual
2. Assessee's own contribution

a) Section 80CCD(1)

Salaried EE	EE's Contribution subject to maximum 10% Of RBS
Other Individual	Assessee's Contribution subject to maximum 20% of GTI

b) Section 80CCD(1B)

An additional deduction of up to ₹ 50,000 is allowed over and above u/s 80CCD (1) for the contribution made by assessee to his own NPS

account and contributions made by a parent or guardian to a minor's NPS account [Amedment FA 2025]

Note: Always claim deduction under 80CCD(1B) first and then balance under 80CCD (1)

3. ER Contribution to EE's NPS [Section 80CCD(2)]
   a) Amount contributed by ER is Added to Gross Salary
   b) Also Deduction is allowed for such contribution subject to maximum 10% Of RBS
      (14% of RBS in case contribution is made by CG/SG or EE has opted Sec. 115BAC).
4. Taxability of Amount received from above scheme on closure of Account

Particulars	Treatment
In case of Death	Fully Exempt
Other Cases	60% Exempt

Note: Salary includes DA if it is provided in terms of employment but shall exclude all other allowances and perquisites.

RESTRICTION ON DEDUCTION [SECTION 80CCE]

Maximum deduction allowed under section 80C + 80CCC + 80CCD(1) shall be ₹1,50,000.

DEDUCTION IN RESPECT OF CONTRIBUTION TO AGNIPATH SCHEME [SECTION 80CCH]

1. Agnipath scheme is a Central Government scheme launched in 2022 for enrolment of Indian youth in the Indian Armed Forces
2. Each Agniveer is to contribute 30% of his monthly customized Agniveer Package to the individual's Agniveer Corpus Fund. Further, the Government will also contribute a matching amount to the Agniveer Corpus Fund
3. The Agniveer Corpus Fund means a fund in which consolidated contributions of all the Agniveers and matching contributions of the Central Government along with interest on both these contributions are held.
4. Deduction
   a) Assessees own contribution [80CCH(1)]
      Agniveer is eligible for contribution made to individual's Agniveer Corpus Fund.
   b) Contribution made by CG [80CCH(2)]
      Central Government's contribution to the Agniveer Corpus Fund would be included in the salary of the assessee and then whole amount of contribution is allowed as a deduction.

DEDUCTION IN RESPECT OF FAMILY INSURANCE PREMIUM [SECTION 80D]

1. Assessee - Individual / HUF
2. Payment Made For –
   a) Health insurance premium
   b) Contribution in Central Govt. Health Scheme
   c) Preventive Health Checkup (PHC)
3. Deduction
   i. Self / Spouse/ dependent Children - Amount paid Subject to max 25,000. (In case of Resident Senior Citizen max ₹ 50,000)
   ii. Parents (dependent / Not dependent) - Amount paid Subject to max 25,000. (In case of Resident Senior Citizen max ₹ 50,000)
4. In case of Resident senior citizen, Deduction of ₹ 50,000 is allowed in case of medical expenditure even if no insurance premium is paid
5. Maximum Deduction for Preventive Health-Check up of Family & Parents is ₹ 5,000 which is included in overall limit of ₹25,000 / ₹ 50,000.
6. No Deduction is allowed for the payment of premium made in cash. PHC payment can be made by any mode.
7. Where medical insurance is paid in lumpsum for more than 1 year, deduction shall be allowed for each PY as follows:

$$\text{Deduction per year} = \frac{\textit{Lumpsum Premium}}{\textit{PY for Which Insurance is Valid}}$$

DEDUCTION IN RESPECT OF MAINTENANCE OF DISABLED DEPENDANT [SECTION 80DD]

1. Assessee - Resident Individual / HUF
2. Deduction - ₹75,000 irrespective of the expenditure (₹ 1,25,000 in case of severe disability)
3. Dependant -
   a) For Individual - Spouse, children, parents, brothers and sisters who are dependent on the individual
   b) For HUF - Any member of the Hindu Undivided Family

   Note: Assessee should incur expenses on medical treatment including nursing or paid/deposited amount in LIC scheme for the maintenance of dependent disabled.

MEDICAL TREATMENT OF SPECIFIED DISEASE [SECTION 80DDB]

1. Assessee - Resident Individual / HUF
2. Expenditure - Treatment of disease specified in the rule 11DD
3. Incurred On –
   a) For Individual – Self or a Dependent Spouse, children, parents, brothers and sisters
   b) For HUF- Any member dependent on the Hindu Undivided Family
4. Deduction –
   a) Amount incurred or ₹40,000 whichever is less.
   b) For senior citizen - Amount incurred or ₹1,00,000 whichever is less.

PAYMENT OF INTEREST ON LOAN TAKEN FOR HIGHER EDUCATION [SECTION 80E]

1. Assessee – Individual
2. Deduction - Payment of interest on loan taken by him from any financial institutions for pursuing higher education (any course after class XIIth)
3. Education of - self or spouse or children or any person for whom the assessee is legal guardian
4. No deduction shall be allowed for repayment of the principal loan amount
5. Deduction is allowed for a maximum period of 8 years starting from the year in which first payment of interest was given

INTEREST ON LOAN TAKEN FOR CERTAIN HOUSE PROPERTY [SECTION 80EE]

1. Assessee – Individual
2. Deduction - Interest payable on loan taken from any financial institution for acquisition of a residential house property (Max deduction = ₹ 50,000).
3. Conditions:
   a) Loan has been sanctioned during 1/4/2016 – 31/3/2017
   b) Value of house should not exceed ₹ 50 Lakh.
   c) Loan amount is upto ₹ 35 lakh
   d) Assessee doesn't own any RHP on the date of loan sanction
4. Assessee shall claim deduction u/s 24(b) first and then remaining interest shall be allowed under this section.

   Note: Loan should be taken from banks or financial institutions.

INTEREST ON LOAN TAKEN FOR CERTAIN HOUSE PROPERTY [SECTION 80EEA]

1. Assessee – Individual
2. Deduction - Interest payable on loan taken from any financial institution for acquisition of a residential house property (Max deduction = ₹1.5 Lacs).
3. Conditions:
   a) Loan has been sanctioned during 1/4/19 – 31/3/22
   b) SDV ≤ 45 Lakh.
   c) Assessee doesn't own any RHP on the date of loan sanction
   d) Assessee shall claim deduction u/s 24(b) first and then remaining interest shall be allowed under this section.

Note: Loan should be taken from banks or financial institutions.

INTEREST ON LOAN TAKEN FOR PURCHASE OF ELECTRIC VEHICLE [SECTION 80EEB]

1. Assessee – Individual
2. Deduction - Interest payable on loan taken from any financial institution for purchase of electric vehicle
(Max deduction = ₹1.5 Lacs).
3. Conditions: Loan has been sanctioned during 1/4/19 – 31/3/23
4. Deduction is allowed irrespective of fact whether e-vehicle is purchased for official or personal use.

Note: Loan should be taken from banks or financial institutions.

DONATIONS TO CERTAIN FUNDS, CHARITABLE INSTITUTIONS ETC. [SECTION 80G]

1. Deduction is available to all the assesses for donation made to eligible funds or institutions
2. Donations in kind shall not qualify for deduction.
3. No deduction shall be allowed in respect of donation of exceeding ₹ 2,000 unless such sum is paid by any mode other than cash.
4. Quantum of deduction:
There are four categories of deductions

Category 1: Donation qualifying for 100% deduction, without any qualifying limit

1. The National Defence Fund set up by the Central Government
2. Prime Minister's National Relief Fund.
3. Prime Minister's Armenia Earthquake Relief Fund
4. The National Children's Fund
5. The National Foundation for Communal Harmony
6. Approved University or educational institution of national eminence
7. Chief Minister's Earthquake Relief Fund, Maharashtra
8. Any Zila Saksharta Samiti
9. Any State Government Fund set up to provide medical relief to the poor
10. The Army Central Welfare Fund or Indian Naval Benevolent Fund or Air Force Central Welfare Fund established by the armed forces of the Union for the welfare of past and present members of such forces or their dependents.
11. The National Illness Assistance Fund
12. The Chief Minister's Relief Fund or Lieutenant Governor's Relief Fund in respect of any State or Union Territory
13. The National Sports Fund set up by the Central Government
14. The National Cultural Fund set up by the Central Government
15. The Fund for Technology Development and Application set up by the Central Government
16. The Swachh Bharat Kosh
17. The Clean Ganga Fund
18. The National Fund for Control of Drug Abuse

Category 2: Donation qualifying for 50% deduction, without any qualifying limit

Prime Minister's Drought Relief Fund

Category 3: Donation qualifying for 100% deduction, subject to qualifying limit

1. The Government or to any approved local authority, institution or association for promotion of family planning

Category 4: Donation qualifying for 50% deduction, subject to qualifying limit.

1. Any institution or fund established in India for charitable purposes.
2. The Government or any local authority for utilisation for any charitable purpose other than promoting family planning.
3. An authority constituted in India under any law for housing accommodation or planning, development or improvement of cities, towns and villages.
4. Any corporation established by the Central or State Government for promoting the interests of members of a minority community.
5. For renovation or repair of a notified temple, mosque, gurdwara, church or other similar place.

Qualifying limit: The eligible donations referred to in category 3 and 4 should be aggregated and the sum total should be limited to 10% of the adjusted gross total income.

Adjusted Total Income Means GTI as reduced by LTCG (112/112A) & STCG u/s 111A & All Deductions except Section 80G

DEDUCTION IN CASE OF PAYMENT OF RENT [SECTION 80GG]

1. Assessee - Individual (Must Not be receiving HRA/RFAC)
2. Deduction – Lower of following shall be allowed as deduction:
   a) ₹ 5,000 Per Month
   b) Rent paid - 10% of Adjusted GTI
   c) 25% of Adjusted GTI
3. Adjusted GTI Means GTI as reduced by LTCG (112/112A) & STCG u/s 111A & All Deductions except Section 80GG.
4. Other Conditions:
   - Individual should not have any house in his name or spouse name or minor child name or in the name of HUF of which he is a member, at a place of his duty.
   - Assessee may have house at any other place but it should not be self occupied i.e. it may be let out or vacant

CONTRIBUTIONS TO POLITICAL PARTIES OR ELECTORAL TRUST [SECTION 80GGB]

1. Assessee - Indian Company
2. Deduction – 100% of Amount Contributed

CONTRIBUTIONS TO POLITICAL PARTIES OR ELECTORAL TRUST [SECTION 80GGC]

1. Assessee – Any person other than Indian Company
2. Deduction – 100% of Amount Contributed

DEDUCTION IN CASE OF NEW EMPLOYMENT [SECTION 80JJAAA]

1. Assessee - All Assessee's whose accounts are required to be audited u/s 44AB (i.e. TO > ₹ 1cr/10cr).
2. Deduction - 30% of additional employee cost incurred. Deduction is allowed for 3 assessment years including the assessment year in which such employment is provided.
3. Conditions
   a) Emoluments should be paid through account payee cheque, an account payee bank draft or by use of electronic clearing system
   b) Additional employee means an employee who has been employed during the previous year and whose employment has the effect of increasing the total number of employees employed by the employer as on the last day of the preceding year.
   c) Additional EE does not include —
      (i) an employee whose total emoluments are more than ₹ 25,000 per month; or
      (ii) an employee employed for a period of less than 240 days during PY (in case of business of manufacturing of apparel or footwear or leather products, 150 days shall be considered).
      (iii) an employee who does not participate in the recognized provident fund.
4. If an EE is employed for less than 240/150 days as the case may be during the PY, but is employed for a period of 240/150 days or more in the immediately succeeding year, then he shall deemed to be employed in succeeding year and accordingly ER shall be entitled for deduction under this section for such EEs in the succeeding year.

ROYALTY INCOME, ETC., OF AUTHORS OF BOOKS OTHER THAN TEXT BOOKS [SECTION 80QQB]

1. Assessee - Resident individual
2. Deduction – Royalty income or ₹3,00,000 whichever is less. However, Royalty received in excess of 15% of the value of books

sold during the previous year shall be ignored

3. Royalty from Foreign Country: Deduction allowed if Royalty brought to India in convertible foreign exchange within 6 Months from the end of previous year.

DEDUCTION IN RESPECT OF ROYALTY ON PATENTS [SECTION 80RRB]

1. Assessee - Resident individual
2. Deduction – Royalty income or ₹3,00,000 whichever is less.
3. Royalty from Foreign Country: Deduction allowed if Royalty brought to India in convertible foreign exchange within 6 Months from the end of previous year.

INTEREST ON DEPOSITS IN SAVINGS ACCOUNT [SECTION 80TTA]

1. Assessee - Individual / HUF (other than senior citizen)
2. Deduction – Lower of Following is allowed as deduction
   a) Interest Amount
   b) ₹ 10,000
3. Interest income on saving bank accounts with any Bank/ Post Office is eligible for deduction under this section.

Note: As per section 10(15), Interest on Post Office Savings Bank Account to the extent of ₹3,500 per year shall be exempt from income tax and in the case of joint account, exemption shall be allowed up to ₹7,000 per year.

INTEREST ON DEPOSITS IN CASE OF SENIOR CITIZENS [SECTION 80TTB]

1. Assessee - Senior citizen
2. Deduction – Lower of Following is allowed as deduction
   a) Interest Amount
   b) ₹ 50,000
3. Interest income on Saving, fixed, time, recurring or any other deposit is eligible for deduction under this section.

DEDUCTION FOR HANDICAPPED ASSESSEE [SECTION 80U]

1. Assessee – Resident Individual
2. Deduction – ₹ 75,000 (₹ 1,25,000 for severe Disability)

DEDUCTION IN RESPECT OF SEZ UNIT [SECTION 10AA]

1) In computing the total income of an undertaking which begins to manufacture or produce articles or things or computer software in SEZ unit.
2) Deduction shall be allowed only if SEZ unit has received approval up to 31/03/2020 and manufacturing is commenced up to 31/03/2021
3) Deduction u/s 10AA shall be allowed as follows:
   a) For the first 5 years - 100% of export profit
   b) For the next 5 years - 50% of export profit
   c) For the next 5 years lower of the following :-
      i) 50% of export profit or
      ii) Amount credited in Re-investment allowance reserve A/c
2) Export profit = (Profit of SEZ unit x Export turnover) ÷Total turnover
3) Export turnover means consideration received in India in convertible foreign exchange within 6 months from end of previous year.
4) Export turnover does not include freight, insurance, telecommunication charges or other expenses for providing services outside India.
5) Above mentioned expenses shall also be excluded from total turnover.
6) Deduction u/s 10AA shall be allowed only under old regime.
7) Deduction under this section shall be allowed after claiming all the deduction u/s 80C-80U from GTI
8) P&M used in the business should be new, except:
   a) 20% of total value of P&M used in the undertaking can be second hand.
   b) P&M imported from outside India for the first time shall be treated as New P&M.